

Micron Technology, Inc.

MU NASDAQ

Buy

\$929.15 ▼ 6.17%

12M Price Target
\$1100.00

52-Week Range
\$103.38 – \$1255.00

Market Cap
\$1.05T

MU: HBM4 Ramp Meets CHIPS Act Tailwinds, Pullback = Opportunity

WHAT HAPPENED

- MU dropped 6% today on notably LIGHT volume (8.3M vs. usual 40M+) — that's a tell. This isn't panic selling, it's profit-taking after the stock ripped from \$865 → \$990 in three days. Somebody's ringing the register ahead of Big Tech earnings next week (Nvidia, Microsoft, Meta all reporting) — memory stocks trade in lockstep with hyperscaler capex commentary.
- The Zacks piece on HBM4 ramp is the real story — Micron is positioning to steal share in high-bandwidth memory, which is the specific chip that goes into every Nvidia GPU. If they land Nvidia's next-gen platform, the earnings power gets re-rated higher.

WHY IT MATTERS

Here's what today probably means: the low-volume pullback tells me this is a healthy digestion, not a trend change — the smart money isn't dumping, they're just trimming into next week's Big Tech earnings, which will set the tone for all memory names. The bigger picture is that MU has become a policy darling — the CHIPS Act (that's the 2022 law giving American chipmakers ~\$52B in subsidies to build domestic factories) has already handed Micron ~\$6.1B in direct grants for their Idaho and New York fabs. Meanwhile, tariff pressure on Chinese memory makers (YMTC, CXMT) is essentially removing Micron's cheapest competitor from the U.S. market. The put/call ratio at 1.18 looks bearish but a lot of those big put strikes at \$1,180-\$1,200 are likely hedges by holders sitting on huge gains from the \$103 low — that's insurance, not conviction shorts.

POLICY & POLITICAL WATCH

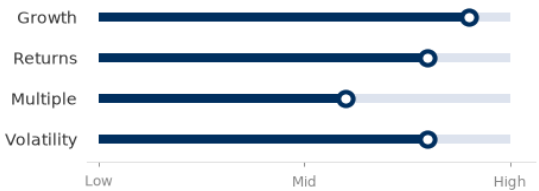
Three policy levers to watch: (1) The Trump administration's Section 232 semiconductor tariffs — memory chips got included in the expanded scope earlier this year, which effectively taxes Samsung and SK Hynix imports and hands Micron a domestic pricing umbrella. (2) CHIPS Act 2.0 discussions are quietly happening in Senate committee — an extension of investment tax credits (currently 25%, proposed bump to 35%) would directly boost Micron's after-tax cash flow on their \$50B+ Idaho/NY buildout. (3) Export controls on advanced memory to China — if Commerce tightens HBM export rules further, it's a mixed bag (loses some China revenue but protects the AI moat). Net-net, the regulatory environment for U.S.-based memory is the most favorable it's been in a generation.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$929.15
12M Price Target	\$1100.00
Upside / (Downside)	+18.4%
Market Cap	\$1.05T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$19.50
Fwd P/E	65.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1050.00	\$970.00	\$850.00
6 Months	\$1300.00	\$1100.00	\$800.00
1 Year	\$1500.00	\$1200.00	\$750.00
2 Years	\$1800.00	\$1400.00	\$650.00
5 Years	\$2500.00	\$1700.00	\$500.00
10 Years	\$3500.00	\$2200.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+2.2%) and Energy (+0.96%) — rate cut expectations plus continued data-center power demand narrative. Industrials also quietly strong (+1.81% on the week) on reshoring and infrastructure spending.

COOLING OFF: Semis and Comm Services (-3.8% on the week) — classic profit-taking after a monster run and pre-earnings de-risking. Not fundamental, just positioning.

ROTATION WATCH: Money is rotating OUT of the AI winners and INTO rate-sensitive plays (real estate, utilities) as bond yields drift lower on softer economic data. This is typically a short-term rotation that reverses hard when Big Tech earnings hit next week.

RELATED PLAY: If you like MU, look at the picks-and-shovels for HBM manufacturing — Applied Materials (AMAT) and Lam Research (LRCX) sell the equipment Micron needs to make these chips. They benefit whether Micron or Samsung wins.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the sector benchmark — Barron's flagged the rally is "at risk" which is code for "everyone's nervous going into earnings." When Nvidia goes, MU goes.
- AVGO (Broadcom): Custom AI silicon story continues to attract capital as hyperscalers diversify away from pure Nvidia dependence.

MU CONTEXT: Micron is essentially LEADING its narrow peer group (memory) but LAGGING the broader AI complex on a YTD basis, which is exactly the setup you want — it's the "catch-up trade" within AI. The 72% of 52-week range positioning means there's still meaningful upside if the AI story holds.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$860-900 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM4 yield issues, Samsung/SK Hynix pricing war, or major AI capex slowdown

Hedging: Small put position or pair-trade short vs. SOXX